



Speech – NZSA Conference – 25 June 2025

Scott McKinnon, Director of Specialist Supervision

Intro

- E nga mana
- E nga reo
- E nga tapu o tenei whenua
- Tena koutou katoa
- Hello everyone. I'm Scott McKinnon [Introduce Self]
- It's great to be here and I'd like to thank the Helen and the wider NZSA community for the opportunity to come and speak to you today.

- I'd like to cover three things:
 - o Firstly, I'll talk about recent developments in the sector and the importance of looking forward through uncertainty.
 - o Secondly, I'll speak on the role of Appointed Actuaries as trusted advisors supporting decisionmakers; and
 - o Thirdly, I'd like to spend a bit of time on the importance of the partnership between Appointed Actuaries and the RBNZ.

Looking forward, not back

- The opportunity to attend this conference was also a welcome chance to reflect on the nature of the challenges facing the insurance sector today.
- As I prepared, I cast my mind back to the not-so-distant past and was briefly taken aback. When I first joined the Reserve Bank in 2012, the Insurance Prudential Supervision regime had only just been established. Standing here, thirteen years later, we are all looking out onto a completely different landscape in terms of supervision and the sector.
- Past data, which we used to rely on very heavily, is an increasingly unreliable compass for prudential supervisors looking to assess emerging risks.

- To illustrate, all across the sector, climate change, exponential advances in technology, behavioural shifts, and economic uncertainty are making the task of accurate forecasting challenging.
 - o In terms of climate, we continue to see an increasing frequency and severity of extreme weather events. This trend has accelerated the need for more risk-based-pricing and product innovation, as we face into a world where natural disasters become part of business as usual.
 - o For technology, the rapid, exponential advances in tech not only bring opportunities for firms, but also new threats and vulnerabilities. Cyber risk, fraud, and the widespread use of AI require investment and attention to thoughtfully address.
 - o Behaviour, too, is changing. In the wake of a global pandemic, growing geopolitical uncertainty, and global economic inter-dependence, consumers' expectations of and interactions with their insurers are developing rapidly and unpredictably.
- The upshot of this, is that we are certain of one thing – that the future will not resemble the past, and uncertainty is likely to become much more common place.
- The question then is: who will assist decision-makers as they navigate through that uncertainty?

Trusted advisor & challenge

- This is where all of you come in, and from our perspective this is where the skills you have are critical.
- In terms of your technical skills, as Appointed Actuaries, you are an invaluable resource to your employers, regulators, and to NZ Inc and have been enshrined in the statutory framework because we see the Appointed Actuary as a key contributor to the sound and prudent running of an insurer. You are uniquely placed to have visibility and the skillset needed to identify and assess the material risks an insurer faces.
- However, technical skills only go so far. Our view is it is critical to the long-term health of insurers that Appointed Actuaries can establish themselves as trusted advisors who can influence decisions.

- To achieve this, soft skills are critical. You will be required to build trust, communicate with impact, and influence key decisions without relying on line management authority. All of which will test your soft skills and so we encourage you to continue to invest in them.
- What are the soft-skills we are referring to?
 - o Your approach to communication generally, through the ability to convey complex messages in a manner that makes them accessible;
 - o Investing time and effort into building good professional relationships with key stakeholders, which in turn establishes an initial degree of trust; and
 - o Being able to understand the perspectives of the decision makers and constructively tailor your messages accordingly. Black and white numbers are one thing, but Boards will generally have to consider a broader range of strategic factors when making decisions.
- The risk is that without the soft skills, technical messages will not resonate as strongly as they should.
- Regular, trusted, challenge from the Appointed Actuary strengthens governance, supports better risk-based decisions and reinforces impartiality.
- Our findings from thematic reviews and our experience as supervisors show that firms where the board is supported with impartial trusted advice, where directors have unfettered access to management, and where challenge is encouraged, are better equipped to face the challenges of operating in the uncertain and highly dynamic environment of today.

Partnership for systemic resilience

- We are not asking you to do this alone of course.
- The Reserve Bank and Appointed Actuaries have joint goals and complementary responsibilities:
 - o the oversight of material risks,
 - o ensuring the prudent management of a firm; and
 - o Building resilience in the insurance sector.

These complementary roles give us two perspectives on the same horizon – one shaped by internal insight and influence, the other by external

oversight and public mandate; both working to support sound decisions, strong governance, and confidence in the credibility of insurance in NZ.

- On our side, we will continue to work closely with Appointed Actuaries.
- In 2019, we spoke to many of you as part of the Appointed Actuary Thematic Review – our first review of the role since the enactment of IPSA. The objectives of the thematic were to better understand how the role was working in practice and to identify potential areas for improvement to make both the role and the regime more effective.
- The Thematic Review identified a number of examples of where we overserved good practice. These included:
 - o Direct and unfettered access to Boards and Board committees;
 - o Practices that support the continuity and resilience of the Appointed Actuary function; and
 - o A broader, stakeholder-focused approach to risk and advice.
- However, we found that while Appointed Actuaries were deemed effective in their roles, and the role itself was seen as attractive, there was a need for the Reserve Bank to more clearly communicate our expectations of the role. While our view of the role was broad, we found that some insurers had viewed having an Appointed Actuary as merely a fulfilment of a statutory obligation. Or, dare I say it, a compliance obligation to be ticked.
- The review also identified several areas where we believe that improvements were needed to strengthen the profession's contribution:
 - o First, we recommended taking a broader and more forward-looking approach to risk. Appointed Actuaries are expected to comment on all material risks to financial condition, including operational risk and premium adequacy – not just technical solvency metrics.
 - o Second, we found variability in governance processes supporting the independence and appointment of the Appointed Actuary. In some cases, there was a lack of formal handover procedures, periodic reassessments, or clearly documented conflict-of-interest policies—each of which plays a role in maintaining the credibility and continuity of the function.
 - o Third, we reinforced the importance of clear and timely engagement with the Reserve Bank. The statutory obligation to report emerging solvency concerns is a critical safeguard, and the review encouraged actuaries and insurers alike to adopt a conservative approach to this duty – acting early, rather than waiting for certainty – and by the

way, this is exactly the same message we give our supervisors – certainty is often elusive. Trust your instincts even when you don't have all the information. The alternative can often mean waiting until it is too late, or the problem has become much more material.

- While progress has been made, our observation is that there remains work to be done, although the degree is very entity specific. We ask you all though to continue to focus on these recommendations.
- For ourselves, as the intensity of our supervision has increased, we have also dedicated more resources to strengthening our relationship with you.
 - o As part of our approach to supervision, you can expect us to communicate openly and transparently with you about the key risks we see facing your firms;
 - o Every year we formalise and set out our annual engagement schedule this includes setting aside time for one-on-one conversations with you and your colleagues; and
 - o We ask, regularly, for you to share your views and concerns with us, and the release of the Relationship Charter has also formalised a feedback mechanism for you to share, anonymously, your reflections on your relationship with us. We are grateful to those of you who participated this year.
- We are also grateful to those of you who have engaged with us throughout our consultations on the review of IPSA. Your contributions have been very valuable as we have scoped and refined the future of our legislation. The NZSA's role, both as a key source of knowledge for us, and as a self-regulatory body itself, remains highly important. Events like these give us an opportunity to foster closer collaboration, and to ensure that lines of communication remain wide open.

Conclusion

- To conclude then, I note that as we look forward into an uncertain future, there is some comfort to be found in enduring truths.
- Regardless of the challenges that will face insurers next week, next month, next year – decisionmakers will need trusted advisors to guide them with expert and impartial advice, and to challenge them consistently and constructively.

- In your role as Appointed Actuaries, we rely on you to inform and influence for the continued resilience of your firms.
- In our role as the regulator and supervisor, we will work to progress our joint goals and to support you in your work, to maintain prudent management of your insurer and the soundness and efficiency of the sector.
- Thank you very much for your time and attention.

With any remaining time, I'm happy to take questions from the floor.